

American lives per year. Picture the population of Atlanta *saved every year*. But since that progress happened so slowly, it captures less attention than quick, sudden losses like terrorism, plane crashes, or natural disasters. We could have a Hurricane Katrina five times a week, every week—imagine how much attention that would receive—and it would not offset the number of annual lives saved by the decline in heart disease in the last 50 years.

This same thing applies to business, where it takes years to realize how important a product or company is, but failures can happen overnight.

And in stock markets, where a 40% decline that takes place in six months will draw congressional investigations, but a 140% gain that takes place over six years can go virtually unnoticed.

And in careers, where reputations take a lifetime to build and a single email to destroy.

The short sting of pessimism prevails while the powerful pull of optimism goes unnoticed.

This underscores an important point made previously in this book: In investing you must identify the price of success—volatility and loss amid the long backdrop of growth—and be willing to pay it.



In 2004 *The New York Times* interviewed Stephen Hawking, the scientist whose incurable motor-neuron disease left him paralyzed and unable to talk at age 21.

Through his computer, Hawking told the interviewer how excited he was to sell books to lay people.

“Are you always this cheerful?” the *Times* asked.

“My expectations were reduced to zero when I was 21. Everything since then has been a bonus,” he replied.

Expecting things to be great means a best-case scenario that feels flat. Pessimism reduces expectations, narrowing the gap between possible outcomes and outcomes you feel great about.

Maybe that’s why it’s so seductive. Expecting things to be bad is the best way to be pleasantly surprised when they’re not.

Which, ironically, is something to be optimistic about.